Betting on this, many traders started loading up on the stock on Friday when markets resumed for trading after the holiday for Muharram on 8 January. I picked up a couple of lakh shares at around Rs 30, a couple of lakh at around Rs 25, and another couple of lakh at around Rs 20. The volume of trades was again heavy on Wednesday, but the stock price began to sink after a steady start. The latest rumour doing the rounds was that the government was unlikely to intervene and would let Satyam go under. On BSE, the stock price tumbled to Rs 11 and on NSE to Rs 7. I sold out my positions close to the lows of the day at a considerable loss. While initiating the trade, I had planned to hold on to the stock for a month or even longer, by which time there would be some clarity on whether the company would be salvaged. But the rapid descent in the stock price forced me to react as a trader would.

Most traders I knew took a hit on their long positions in Satyam, having sold out in panic. I watched the Satyam screen out of curiosity for a while, though I had sold out my position. There was heavy buying at lower levels, and I suspected that the buyers knew something that the rest of the market did not. I became more certain of this as the stock price climbed to Rs 23 by the end of that day.

I had lost Rs 90 lakh in a single trade, but took solace in the fact that there were others who had fared more miserably. When the Satyam stock had plummeted on the board's decision to buy stakes in the Maytas firms, Larsen & Toubro (L&T) had picked up a 3.95 per cent stake in the company at Rs 170 per share. At the end of the December quarter, L&T's stake in Satyam was higher than the promoter's holding, which had fallen to 3.6 per cent because of the sale of Raju and Co.'s pledged shares.

After the fraud surfaced, the L&T top boss A. M. Naik said his company would not sell or buy any more shares of Satyam. Two weeks later, the company would pick up an additional 7.6 per cent at Rs 34.52 per share, lowering the average cost of its 12 per cent stake in Satyam to Rs 82 per share. The company had little choice; it appeared almost impossible that the stock price would ever go back to Rs 170. But there was a better chance of the company being able to recoup its investment at Rs 82 a share.

Over the weekend it also became clear that the government would not abandon Satyam to its fate.

The entire incident reinforced what I had always believed: that only the promoter really knows what is going on inside a company, no matter how